Chapter Thirty

Two and a Half Generations of the Rupee

First Generation of the Rupee—the Standard Silver Rupee Debuts in 1835

The rule of the East India Company (EIC) had spread over large tracts of India by 1835. This included the three Presidency Towns of Calcutta, Bombay and Madras, as well as many other territories. The Presidency Towns were minting silver coins that circulated in their areas, performing the function of currency. Many princely states also minted coins, which contained different quantities of pure silver. There was considerable confusion about the relative value of the different coins in circulation.

The EIC decided to accept the silver coin circulating in Bombay Presidency as the standard coin, gave it the name of ‘Rupee’ and declared the ‘Silver Rupee’ as the legal tender across the territories of India it controlled.

The Indian rupee was a metallic coin with a standard weight of 180 grains and standard content of 165 grains of pure silver and fifteen grains of alloy. This was the standard currency minted and circulated by the government of the day: the EIC. Central banks did not exist in the world at that time. Banking itself was nascent in India then.

The silver rupee became standard currency all over India soon. The Calcutta Mint minted silver rupees as per demand. The value of coins of other princely states got fixed with reference to the relative pure silver contained therein.

Indian mints also issued a gold coin: the mohur. Its value was fixed in terms of the silver rupee—Rs 15 to a gold mohur reflecting the gold-silver